

OCAD - ONE COMPANY A DAY

SERIES: FOOD AND BEVERAGE

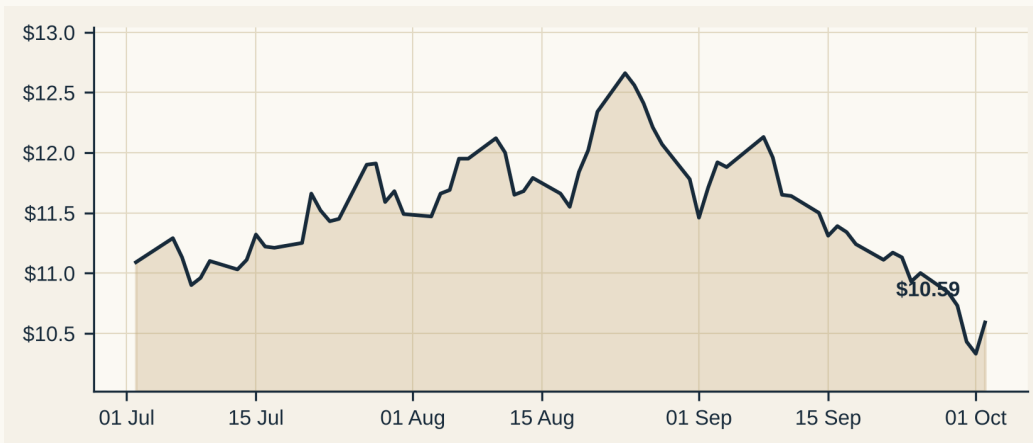
CCU

Compañía Cervecerías Unidas S.A.

NYSE: CCU | Santiago, Chile

USD 10.59

Closing price per ADR (2 ordinary shares), Friday 2 October 2026



CCU ADR daily closing price, USD, 2 July to 2 October 2026. Source: Alpha Vantage (daily series).

REPORT DATE
5 October 2026

ANALYST
Arthur Faugeron

EXCHANGE
NYSE (ADR)

Executive Summary

Business

Reasoned and Sourced. CCU is the largest diversified beverage group in Chile, selling beer, soft drinks, water, juices, spirits and wine through three reporting segments: Chile (FY2025 net sales CLP 1,914.5bn), International Business (Argentina, Bolivia, Paraguay, Uruguay and Colombia, CLP 780.3bn) and Wine (CLP 276.5bn). The group sells mainly to on-premise venues, supermarkets and small neighbourhood retailers across six countries and exports wine to more than 80 markets. Approximately 70% of 2025 volume came from proprietary brands, with the balance under licences such as Heineken, PepsiCo and Nestlé Pure Life (Sourced: Form 20-F 2025).

Financial Condition

Sourced and Calculated. FY2025 net sales were CLP 2,909.6bn (+0.2%), EBITDA CLP 376.2bn (-9.6%, -2.9% excluding a 2024 land sale), EBIT CLP 220.8bn and net income attributable CLP 117.2bn (-27.2%). Operating cash flow was CLP 239.1bn and free cash flow CLP 82.2bn (operating cash flow less capex of CLP 156.9bn). Net financial debt at 30 June 2026 was CLP 943.2bn, or 2.43x trailing EBITDA, against 2.03x at December 2025. Trailing twelve-month figures (Calculated): net sales CLP 2,939.4bn, EBITDA CLP 388.1bn (13.2% margin), net income CLP 103.7bn.

Market Position

Reasoned. The main competitor across CCU markets is the Ambev and AB InBev system (beer in Chile, Argentina, Bolivia, Paraguay and Uruguay); in soft drinks and water the principal rival is the Coca-Cola bottling system including Embotelladora Andina, and in wine it is Viña Concha y Toro. A U.S. government agricultural report put CCU at roughly 65% of Chilean beer, versus 30% for AB InBev (Sourced, USDA FAS 2024). The main advantage is the density of its Chilean distribution and brand portfolio; the main weakness is earnings volatility from Argentina, Bolivia and wine exports.

Valuation

Calculated at USD 10.59 per ADR and USD/CLP 989.64: market capitalisation USD 1.96bn (CLP 1,936bn); enterprise value CLP 2,879bn including net financial debt; P/E 18.7x; EV/EBITDA 7.4x; EV/EBIT 12.6x; P/FCF 14.2x (free cash flow yield 7.0%); price to sales 0.66x. Provider figures for the same date (stockanalysis.com) are P/E 17.2x, forward P/E 14.4x and EV/EBITDA 8.0x.

Investment Framework

Question	Assessment (Reasoned)
What is attractive?	Leading Chilean share positions, a Chile segment EBITDA margin of 16.3% in FY2025, a 7.0% trailing free cash flow yield and a share price at a 52-week low, 28% below its 52-week high.
What is concerning?	Net debt to EBITDA of 2.43x near the top of the 1.5x to 2.5x target range, a 2Q26 net loss of CLP 20.7bn, Bolivian impairment of CLP 6.1bn and shrinking wine sales (-14.1% in 2Q26).
What must go right?	Chile cost relief from the stronger peso must persist, Argentina must stop consuming earnings, and the Nestlé water buy-out must be absorbed without further leverage.
What could break the thesis?	A sharp peso depreciation raising dollar-linked input costs, a lasting Argentine consumption collapse, or a leverage breach forcing lower dividends.
What is priced in?	The base-case DCF yields roughly USD 12 per ADR, so the market price discounts a margin recovery about 0.8 points smaller than the base case (EBITDA margin near 13% to 14%).

Investment Profile

Dimension	Assessment
Business quality	Good: defensive category with entrenched brands
Financial quality	Moderate: low returns (ROIC about 7%), cash conversion volatile
Competitive position	Strong in Chile, weak in Argentina and wine
Growth profile	Low: 4.0% net sales CAGR 2021 to 2025, falling EBITDA
Balance-sheet risk	Moderate to elevated: 2.43x net debt to EBITDA
Valuation	Reasonable to modestly cheap against own cash flows and peers on EV/EBITDA
Market and technical profile	Weak: downtrend, below 50 and 200-day averages, RSI 25

A. About the Business

A1. Business Environment

Reasoned, with Sourced figures where stated. CCU operates in branded non-alcoholic and alcoholic beverages in Latin America. The industry value chain starts with agricultural and packaging inputs (malt, barley, hops, sugar, grapes, aluminium cans, glass and PET), moves through capital-intensive bottling and brewing plants, then through distribution to the on-premise channel (bars and restaurants), modern retail and small retailers. Value is captured mainly by the owners of brands and route-to-market, and by whoever controls scarce packaging and distribution capacity.

Size and growth. The Chilean beer market recorded sales of USD 2.86bn in 2023 against USD 2.78bn in 2022 and per capita consumption of 59 litres in 2022 after a 65.6 litre peak in 2021 (Sourced, USDA FAS Beer and Ingredients Opportunities in Chile, 2024). Management describes the Chilean water industry as growing at a low double-digit rate and flavoured and low-alcohol ready-to-drink products as growing double digit (Sourced, 2Q26 earnings call summary, MarketBeat). Argentine beer and water industries contracted at a high single-digit rate in 2Q26 (same source).

Economics and cyclical. The model carries high fixed costs in plants and logistics, so volume swings move margins. Input costs for imported malt, aluminium, sugar and concentrate are partly dollar-linked, which makes the CLP/USD rate a primary margin driver: management attributed the 26.2% Chile EBITDA increase in 2Q26 to lower direct costs from a 5.0% peso appreciation (Sourced, 2Q26 press release). Regulation is significant (alcohol taxation, labelling of high-sugar products, and antitrust scrutiny of on-premise exclusivity; Sourced, Form 20-F 2025 refers to a competitor suit alleging abuse of dominance in on-premise beer).

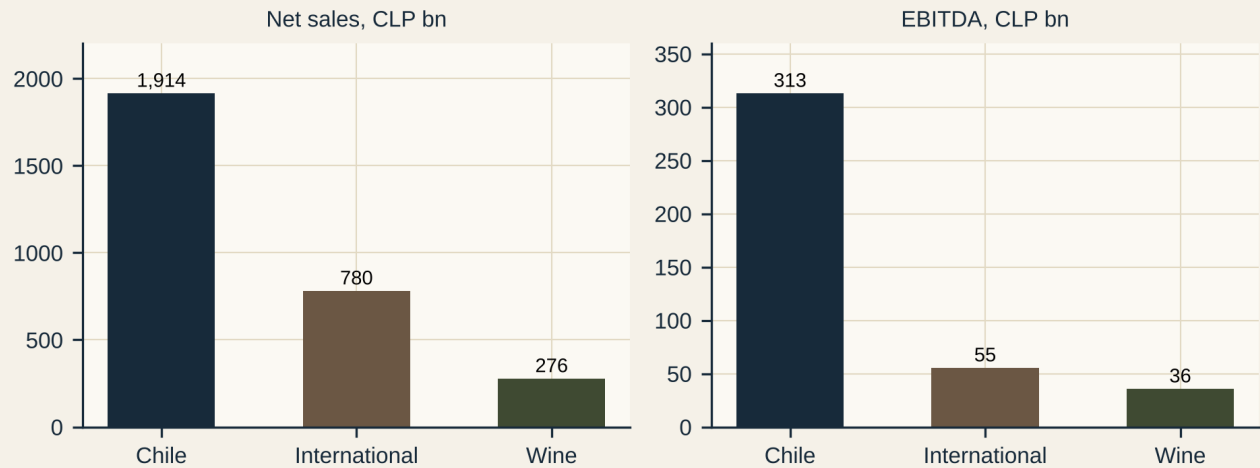
Industry stage. Reasoned classification: mature in Chile with premiumisation, low-alcohol and water as growth pockets, and cyclical and macro-exposed in Argentina and Bolivia. Beer volumes are mature (Chilean consumption below its 2021 peak), while non-alcoholic categories grow faster. Concentration is high: two large brewers hold roughly 95% of Chilean beer (USDA FAS), which supports pricing discipline.

A2. What Does the Company Do?

Reasoned and Sourced. A new employee should think of CCU as a route-to-market machine: it brews, bottles and imports beverages, and then sells and delivers them through its own sales and truck network. FY2025 volume was 36.2 million hectolitres (Sourced, 4Q25 report): Chile 22.97 million, International Business 12.03 million and Wine 1.32 million. Average net sales per hectolitre (Calculated) were CLP 83.4k in Chile, CLP 64.9k in International and CLP 209.3k in Wine, showing wine as the high-value, low-volume line.

Pricing is set per category and channel, with premiumisation (Heineken, craft, imported) lifting mix. Revenue is largely non-recurring in a contractual sense, but repeat purchase patterns make it highly habitual. Principal operating costs are cost of sales (55.6% of FY2025 net sales: Calculated), marketing, selling, distribution and administrative expenses (36.9%), and financial costs on CLP 1.29tn of debt. Capex was 5.4% of net sales in 2025.

FY2025 segment net sales and EBITDA



CLP bn. Source: CCU 4Q25 report (SEC Form 6-K, filed 24 February 2026). Sourced.

How a peso enters and where it goes

CUSTOMER On-premise, supermarkets, small retailers, exporters	PRODUCT AND SERVICE Beer, soft drinks, water, juice, spirits, wine	REVENUE CLP 2,909.6bn FY2025 net sales
COSTS Cost of sales 55.6%; marketing, selling and distribution 36.9%	OPERATING PROFIT EBIT CLP 220.8bn (7.6% margin); EBITDA 12.9%	CASH FLOW Operating cash CLP 239.1bn less capex CLP 156.9bn = FCF CLP 82.2bn
CAPITAL ALLOCATION Dividends (minimum 50% of net income policy), debt service, Nestlé water buy-out CLP 164.6bn, capex		

Calculated from CCU FY2025 reported figures. Chile segment EBITDA equals 83% of consolidated EBITDA on 66% of consolidated net sales, so the Chile margin is the economically most important line.

A3. Business and Relationship Network

Reasoned and Sourced. The ownership chain places Inversiones y Rentas S.A. (IRSA) at 65.87% direct and indirect ownership of CCU, with Quinenco (Luksic group) and Heineken Chile SpA each owning 50% of IRSA (Sourced, Form 20-F 2025). Heineken is therefore both a controlling shareholder and a licensor, which aligns strategy but invites related-party scrutiny. Public float is about 120 million of 369.5 million shares (Sourced, stockanalysis.com).

Node	Relationship	Why it matters economically
CCU Chile segment	Beer, soft drinks, water, juice, spirits	83% of FY2025 consolidated EBITDA; funds dividends and debt service
International Business	Argentina, Bolivia, Paraguay, Uruguay, Colombia	Inflation and FX exposure; EBITDA CLP 55.3bn in FY2025, loss-making in 2Q26
Wine segment	Viña San Pedro Tarapacá (VSPT) group	CLP 276.5bn sales; export demand and strong peso hurt 2025 and 2026
Licensors and partners	Heineken (licence, shareholder), PepsiCo (carbonated soft drinks through ECUSA), Schweppes brands, Pernod Ricard (spirits distribution), Nestlé (RTD distribution)	Brand rights account for about 30% of volume; renewal terms are a key dependency
Suppliers	Local and international suppliers of malt, sugar, concentrate, hops, grapes, packaging	Argentina supplies 92.9% of Chilean malt imports (USDA FAS 2023); aluminium and sugar are dollar-linked
Joint ventures and subsidiaries	Aguas CCU-Nestlé (now 100% owned from June 2026), Austral (50% joint venture)	Water platform for the fastest-growing non-alcoholic category
Shareholders	IRSA 65.87% (Quinenco 50%, Heineken 50%)	Control, dividend policy and strategic direction

Source: CCU Form 20-F 2025; Nestlé transaction notice (SEC Form 6-K, 5 June 2026); USDA FAS Chile beer report 2024. Customer names are not disclosed; no single customer is identified as material in the retrieved materials.

A4. Competition

Reasoned. Competitors were selected on overlap of customers, shelf space and distribution, not on industry codes.

Competitor	Type	Sells	Geography	Position versus CCU
Ambev / AB InBev	Direct	Budweiser, Corona, Stella, Becker, Quilmes and others	Chile, Argentina, Bolivia, Paraguay, Uruguay	Main beer rival in every CCU market; about 30% of Chilean beer (USDA FAS)
Embotelladora Andina	Direct	Coca-Cola system soft drinks, juices, water	Chile, Argentina, Brazil, Paraguay	Rival to CCU PepsiCo and water portfolio; USD 4.3bn market cap
Viña Concha y Toro	Direct	Wine for domestic and export markets	Chile and export markets	Larger global wine brand portfolio than VSPT
Craft and independent brewers	Emerging	Premium and craft beer	Chile	Nearly 600 craft brewers by 2022 (USDA FAS) erode premium share
Wine, spirits and RTD cocktails	Substitute	Alternative alcohol occasions	Regional	Compete for the same consumer occasion
Imported beer and water brands	Geographic	Imports from the U.S., Mexico and Europe	Chile	Imports were USD 71m in 2023 (USDA FAS)

Competitor descriptions are Reasoned from public industry knowledge except where a source is named.

A5. Competitive Differences

Reasoned. Structural advantages: scale in Chilean beer and soft drinks (CCU has held about 65% of Chilean beer per USDA FAS), a dense distribution network that is expensive to replicate, brand ownership (Cristal and Escudo were the two most consumed beers in 2022 at 27% and 22.2% per USDA FAS), and licensing partnerships with Heineken and PepsiCo. Temporary advantages: the peso-driven input cost relief of 2026, which depends on exchange-rate levels. Disadvantages: subscale and loss-making International operations (EBITDA margin of -13.4% in 2Q26), a wine segment dependent on global demand, and cost inflation in Argentina.

Moat rating: Moderate. The Chilean franchise would earn a Strong rating on market share and distribution alone, but group ROIC of about 7% (Calculated) is only slightly above an estimated cost of capital, which indicates that the moat protects share rather than generating wide excess returns, and the Argentine and wine operations dilute it.

A6. Industry Trend

Reasoned. Structural trends: premiumisation in beer, rapid growth in low-alcohol RTD (8.3% of CCU alcohol volume in Chile in 2Q26, volume growing double digit per MarketBeat), faster growth in water and non-alcoholic categories (mid-single-digit growth for CCU in Chile in 2Q26), and health-related regulation. Temporary conditions: a peso that appreciated 5.0% against the dollar in 2Q26 (Sourced), Argentine recession, and Bolivian social unrest that interrupted operations. The industry is Mature and Cyclical in Chile and Disrupted in Argentina. A trend reversal would come from peso depreciation, a sustained fall in disposable income, higher excise taxes, or a loss of Heineken or PepsiCo rights.

A7. Management

Sourced. Eduardo Ffrench-Davis became chief executive on 30 June 2026, succeeding Patricio Jottar, who led CCU for 28 years and moved to the board and to IRSA and subsidiary boards. Ffrench-Davis is a civil industrial engineer (Pontificia Universidad Católica) with an MBA from Babson College, previously general manager of Eccusa, CCU bottling operation, with about 20 years across operations, finance, strategy and international business at CCU (El Mostrador, 29 May 2026). Felipe Dubernet is chief financial officer; Claudio Las Heras heads investor relations (stockanalysis.com company profile).

Sourced. On 15 July 2026 the new CEO announced an executive restructuring: Matías Bebin became general manager of Chile, with beers and non-alcoholic categories under unified management; Nicolás Novoa moved to International Business; and a corporate Transformation unit now reports to the CEO (Diario Financiero). The strategy "Vamos por Más" has four pillars: business focus, operational synergies, agility and accelerated transformation, with the strategic plan extended to 2030 (MarketBeat).

Analysis (Reasoned). Capital allocation has recently been constructive on strategic assets (buying Nestlé’s 49.9% of the water joint venture for CLP 164.6bn at a 100% enterprise value of CLP 322.4bn) but leveraged the balance sheet: net debt to EBITDA rose from 1.76x in 2024 to 2.43x. Dividends fell from USD 1.02 per ADR in 2022 to USD 0.40 in 2025. No share repurchases of size were retrieved. Management gives no numerical earnings guidance in the 2Q26 materials, so guidance accuracy is Not Retrieved. A new CEO, together with the generational change reported across Grupo Luksic companies (El Mostrador), adds execution risk, but the new CEO is an internal, 20-year operator. Individual insider ownership is Not Retrieved; control sits with IRSA, which aligns the controlling shareholders with long-term value but gives minority holders little influence.

B. Evaluation

B1. Financial and Operating Metrics

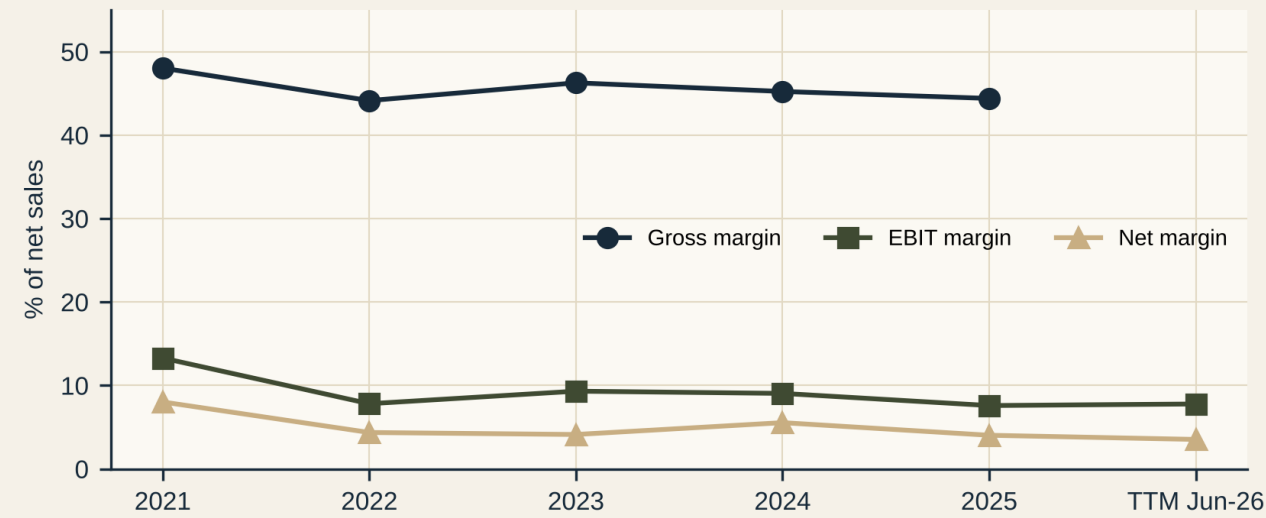
Accounting framework: IFRS as issued by the IASB, reported in Chilean pesos. Argentina has been treated as hyperinflationary since 2018 (Sourced, Form 20-F 2025). Company-reported figures are used for 2024 and 2025 and trailing figures; 2021 to 2023 come from the data provider and are labelled Derived.

PROFITABILITY, CLP, 2021 TO TRAILING TWELVE MONTHS TO JUNE 2026

Profitability	2021	2022	2023	2024	2025	TTM Jun-26
Net sales (CLP bn)	2,484.7	2,711.4	2,565.6	2,904.6	2,909.6	2,939.4
Gross margin	48.0%	44.1%	46.3%	45.2%	44.4%	N/A
EBITDA margin	18.3%	12.5%	13.4%	14.3%	12.9%	13.2%
EBIT margin	13.3%	7.8%	9.3%	9.0%	7.6%	7.8%
Net margin	8.0%	4.4%	4.1%	5.5%	4.0%	3.5%

Sources: 2021 to 2023 Alpha Vantage statements (Derived); 2024, 2025 and trailing from CCU 4Q25 and 2Q26 reports (Sourced; trailing is Calculated as FY2025 plus 1H26 less 1H25). Gross margin trailing not computed. Net income is attributable to owners.

Margin structure



Percent of net sales. Sources: CCU reports; Alpha Vantage. Derived and Sourced.

KEY RATIOS, CALCULATED

Metric	Value	Meaning
Net sales CAGR 2021-2025	4.0%	Growth mostly price and Argentina inflation, not volume
EBITDA CAGR 2021-2025	-4.6%	Profit has fallen while sales rose: margin compression
EPS CAGR 2021-2025 (CLP per share)	-12.4%	EPS 539.1 in 2021 versus 317.1 in 2025; share count flat at 369.5m
FCF CAGR 2021-2025	-9.3%	Capex absorbs 66% of operating cash flow
ROE 2025 (avg total equity)	7.8%	Low for a staples franchise; leverage 2.0x
ROIC 2025 (NOPAT at 27% tax / equity plus net debt)	7.2%	Marginally above an estimated 9% to 9.5% cost of capital
ROIC 2024 (same method)	8.5%	Decline reflects lower EBIT
Net debt / EBITDA (Dec-25, Jun-26)	2.03x, 2.43x	Within the 1.5x to 2.5x target but at the upper bound
Interest coverage 2025 (EBIT / net financial expense)	4.2x	Adequate; sensitive to a further EBIT decline
Asset turnover 2025 (avg assets)	0.75x	Capital-intensive business
Inventory turnover 2025 (cost of sales / avg inventory)	3.5x	About 105 days of inventory
Receivables turnover 2025	5.6x	About 65 days of receivables
Payables days 2025	90 days	Supplier financing is a working-capital source
Cash conversion cycle 2025	79 days	Derived: inventory days plus receivable days less payable days
OCF / net income 2025	2.0x	Cash earnings exceed accounting earnings by depreciation
Capex / net sales 2025	5.4%	Maintenance plus modernisation

Calculated from CCU 4Q25 report and Alpha Vantage balance sheet at 31 December 2025 and 2024 (CLP). ROIC uses statutory 27% Chilean tax rate (Reasoned). Comparison with peers: Andina ROIC 15.0%, Coca-Cola FEMSA 13.3%, Ambev 25.7%, AB InBev 8.0% (stockanalysis.com); CCU 8.8% on the same provider.

B2. Risks

Reasoned. Probability is rated on a one to five scale over three years and impact on shareholder value on a one to five scale; the product ranks the risks.

RISK RANKING, PROBABILITY BY IMPACT

Risk	Probability	Impact	Score
Argentina and Bolivia: hyperinflation, devaluation, unrest	4	4	16
Leverage and refinancing: 2.43x net debt to EBITDA	3	4	12
Peso depreciation raising dollar-linked inputs	3	4	12
Chile consumption and competition: AB InBev, craft, imports	3	3	9
Regulation: antitrust, health labelling, excise taxes	3	3	9
Valuation: further multiple compression if earnings keep falling	3	3	9
Wine export demand and strong peso	4	2	8
Key-person and governance: CEO transition, controlling-holder succession	2	3	6
Technology and cyber disruption of route-to-market	2	2	4

The three risks most capable of permanently impairing shareholder value are: first, the loss of earnings in Argentina and Bolivia (the International segment swung from EBITDA of CLP 78.4bn in FY2024 to a loss of CLP 20.0bn in 2Q26 alone, with an impairment of CLP 6.1bn in Bolivia); second, a leverage spiral if EBITDA falls while debt is dollar or inflation-linked; third, a permanent compression of Chile margins if the peso weakens and competitors cut price. Business risk also includes licence dependence on Heineken and PepsiCo. Financial risk includes inflation-indexed debt (UF-linked bonds are cited in the 20-F). Customer and supplier concentration are Not Retrieved.

B3. Valuation

Calculated at USD 10.59, USD/CLP 989.64, 184.75 million ADRs (369.50 million ordinary shares, 2 per ADR). Market capitalisation CLP 1,936bn; enterprise value CLP 2,879bn (market capitalisation plus net financial debt CLP 943.2bn; minority interests and pensions not added because of immateriality after the Nestlé buy-out; this treatment is Reasoned).

VALUATION MULTIPLES AT 2 OCTOBER 2026

Multiple	CCU (Calculated)	CCU (stockanalysis.com)
P/E trailing	18.7x	17.2x
P/E forward	Not computed	14.4x
EV/EBITDA	7.4x	8.0x
EV/EBIT	12.6x	12.8x
P/S	0.66x	0.61x
P/FCF	14.2x	12.8x
FCF yield	7.0%	Not Retrieved
Dividend yield	2.1%	2.1% (digrin.com shows 2.9% forward)
PEG	Not meaningful	Not meaningful

The difference between calculated and provider EV/EBITDA arises from the provider using a lower reported EBITDA and a broader enterprise value definition. Company-reported EBITDA is preferred as the primary source. Dividend history is quoted in USD per ADR.

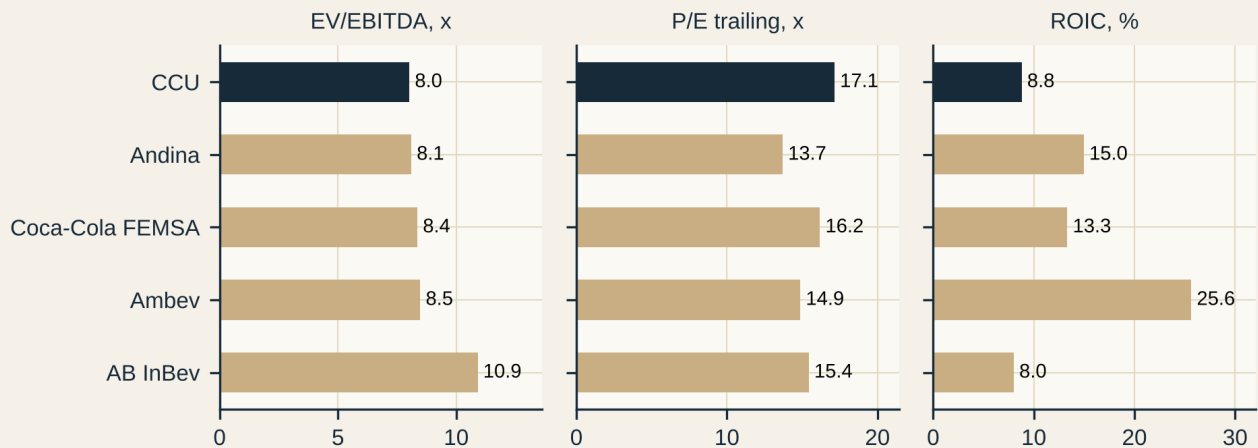
Historical valuation: multiple history was Not Retrieved from a primary source. Price context instead: the ADR price is 16.0% below its level three years ago and 37.7% below five years ago (price only, Calculated), while the ADR is at its 52-week low, 28.4% below the 52-week high of USD 14.79 reached on 23 January 2026.

PEER VALUATION, USD, SAME PROVIDER

Company	Market cap USD bn	EV/EBITDA	P/E	P/FCF	Div. yield	ROE	ROIC
CCU	1.93	8.0x	17.2x	12.8x	2.1%	7.9%	8.8%
Embotelladora Andina (AKO.B)	4.31	8.1x	13.7x	14.5x	2.6%	23.8%	15.0%
Coca-Cola FEMSA	21.94	8.4x	16.2x	16.3x	4.1%	17.1%	13.3%
Ambev	46.65	8.5x	14.9x	10.1x	4.1%	18.4%	25.7%
AB InBev	143.97	10.9x	15.4x	10.5x	1.1%	11.4%	8.0%

Source: stockanalysis.com statistics pages, 22 September to 3 October 2026 (market data; Andina as of 22 September 2026). Peers chosen for category and geographic overlap: Andina (Chile and Argentina soft drinks), Ambev and AB InBev (beer in the same markets), Coca-Cola FEMSA (Latin American bottler with comparable route-to-market). Concha y Toro was not retrieved.

Peer valuation and returns



Sources: stockanalysis.com, 22 September to 3 October 2026. Sourced.

Interpretation (Reasoned). CCU trades at an EV/EBITDA similar to Andina and Coca-Cola FEMSA but earns roughly 60% of their ROIC and offers a lower dividend yield than Ambev and FEMSA. A similar multiple for lower returns suggests the stock is not cheap on a quality-adjusted basis; it is cheap only if Chile margins hold and Argentina and wine stabilise.

B4. Capital Market and Stock Analysis

RETURNS IN USD

Period to 2 Oct 2026	CCU ADR (total return)	S&P 500 ETF (total return)	Relative
1 week	-3.7%	-0.2%	-3.5 pts
1 month	-12.3%	0.3%	-12.5 pts
3 months	-4.5%	3.6%	-8.1 pts
6 months	-8.5%	17.9%	-26.4 pts
1 year	-9.0%	17.5%	-26.6 pts
Year to date	-17.4%	12.4%	-29.7 pts
3 years	-7.6%	86.7%	-94.3 pts
5 years	-20.1%	89.5%	-109.6 pts

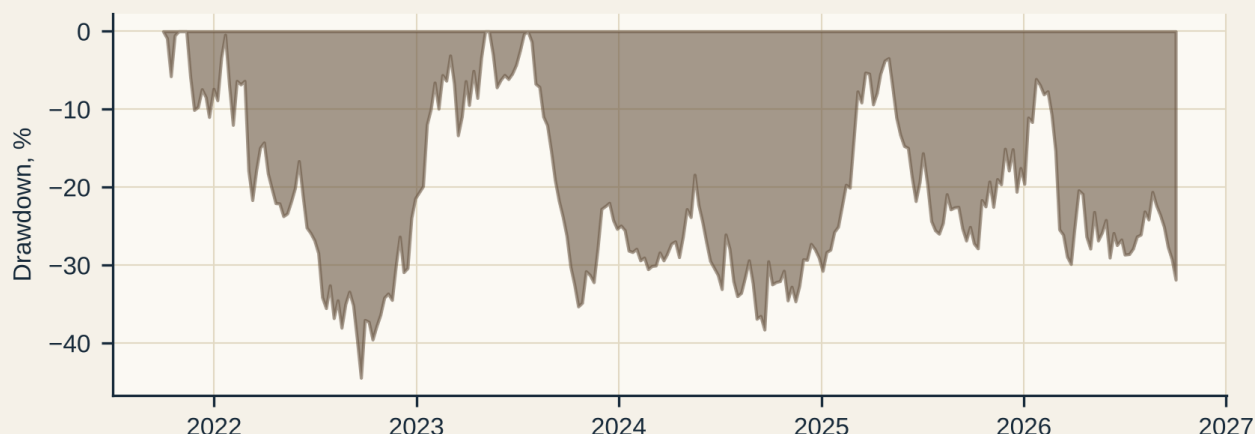
Source: Alpha Vantage weekly adjusted series, dividends reinvested; benchmark is an S&P 500 index fund (SPY). Calculated. The ADR closed 1 day earlier at USD 10.33 and rose 2.5% on 2 October.

Relative performance, five years



Source: Alpha Vantage weekly adjusted close, 1 October 2021 to 2 October 2026. Calculated.

CCU ADR drawdown from running peak, five years



Percent. Source: Alpha Vantage adjusted close. Calculated.

VOLATILITY AND DRAWDOWN

Risk metric	Value	Note
Annualised volatility, 3 years (weekly)	28.0%	Calculated
Annualised volatility, 5 years (weekly)	29.6%	Calculated
Downside volatility, 3 years	14.1%	Weekly negative returns only
Maximum drawdown, 3 years	-29.4%	Trough is the latest week, 2 October 2026
Maximum drawdown, 5 years	-44.5%	Trough week of 23 September 2022
Beta versus S&P 500, 3 years / 5 years	0.58 / 0.50	Weekly; providers quote 0.27
Correlation with S&P 500, 3 years	0.30	Low; the ADR trades on Chile and Latin America factors

Technical structure (Reasoned). At USD 10.59 the ADR is below its 50-day average (USD 11.61, Calculated) and below the 200-day average (USD 12.16, Alpha Vantage), with the 50-day below the 200-day. The 14-day RSI is 25.4, which is oversold, and the MACD (-0.33) sits below its signal line (-0.25), confirming downside momentum. Average daily volume of the last 20 sessions (112.7k) is below the 63-session average (150.8k), showing the decline occurred on falling participation rather than panic; the exception was the 27 May 2026 session at 1.34 million shares. The 14-day mean absolute daily move is USD 0.13 (1.2%), used as a proxy for average true range because intraday ranges for the full window were not retrieved. Support is the new 52-week low (USD 10.59) and the 10.25 intraday low of 1 October; resistance is the 50-day average. Technicals describe momentum, not value: an oversold reading in a downtrend can persist, and it says nothing about intrinsic value, which is addressed in the valuation sections.

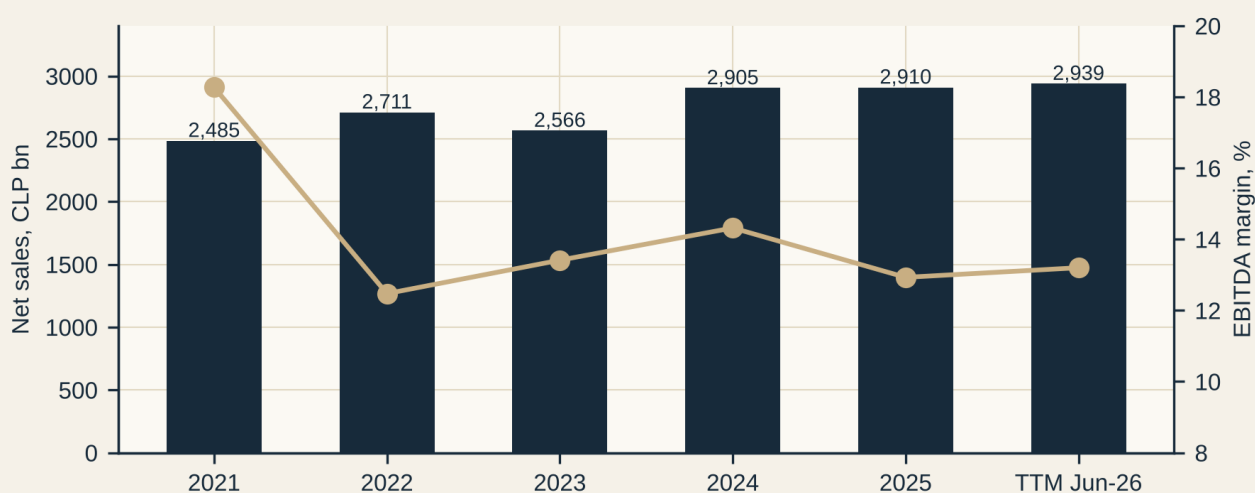
Relative to peers (Sourced, stockanalysis.com 52-week price changes): CCU -10.4%, Andina +23.1%, Ambev +35.3%. CCU has underperformed the Latin American beverage peers by 30 to 45 points over a year, consistent with its earnings deterioration.

C. Financial Statements

C1. Income Statement

Sourced and Derived. Net sales grew from CLP 2,484.7bn (2021) to CLP 2,909.6bn (2025), a 4.0% CAGR, but 2025 growth was 0.2% and, per management, organic net sales fell 2.9% as International sales fell 8.2% reported and 18.6% organic. Reported volume rose 7.3% in 2025 but only 0.6% organically, with the non-organic gain arising in International (reported International volume +23.0%, organic -0.3%). In 1H26, net sales rose 2.1% on a 6.4% price increase in 2Q26 and a 1.5% volume decline.

Net sales and EBITDA margin



CLP bn and percent. Sources: CCU reports and Alpha Vantage. Sourced and Derived.

CONDENSED INCOME STATEMENT

CLP bn	FY2024	FY2025	Change	1H25	1H26	Change
Net sales	2,904.6	2,909.6	+0.2%	1,397.6	1,427.3	+2.1%
Cost of sales	(1,591.0)	(1,618.0)	+1.7%	(778.6)	(787.0)	+1.1%
Gross profit	1,313.6	1,291.6	-1.7%	619.0	640.4	+3.4%
Marketing, selling, distribution, admin.	(1,086.4)	(1,074.4)	-1.1%	(546.5)	(557.4)	+2.0%
EBIT	262.7	220.8	-15.9%	74.5	82.3	+10.5%
EBITDA	415.9	376.2	-9.6%	151.4	163.2	+7.8%
Net financial expense	(59.1)	(52.4)	-11.2%	(Not Retrieved)	(Not Retrieved)	N/A
Net income (owners)	160.9	117.2	-27.2%	46.6	33.1	-28.8%
EPS (CLP per share)	435.6	317.1	-27.2%	126.0	89.7	-28.8%

Source: CCU 4Q25 report (SEC Form 6-K, 24 February 2026) and 2Q26 press release. Sourced, IFRS. FY2024 includes a pre-tax gain of CLP 28.7bn on a land sale (CLP 20.9bn after tax). Second-quarter 2026 net loss was CLP 20.7bn (2Q25: loss CLP 11.2bn), seasonally the weakest quarter in the Southern Hemisphere.

Margin drivers (Reasoned). Operating leverage is high: 1H26 EBIT rose 10.5% on 2.1% sales growth because the 5.0% stronger peso cut direct costs in Chile (2Q26 Chile EBITDA +26.2%, margin +264 basis points to 13.5%), while selling expenses grew 2.0%. FY2025 gross margin fell to 44.4% from 45.2% on cost inflation and Argentine mix, and MSD&A held at 36.9% of net sales, so the EBIT margin contracted from 9.0% to 7.6%. Margins are therefore contracting over the long run (EBITDA margin 18.3% in 2021 to 12.9% in 2025) but have stabilised in 2026. Taxes are small and volatile (income tax credit in several periods), which flatters net income conversion; 2025 had a tax credit of CLP 27.1bn.

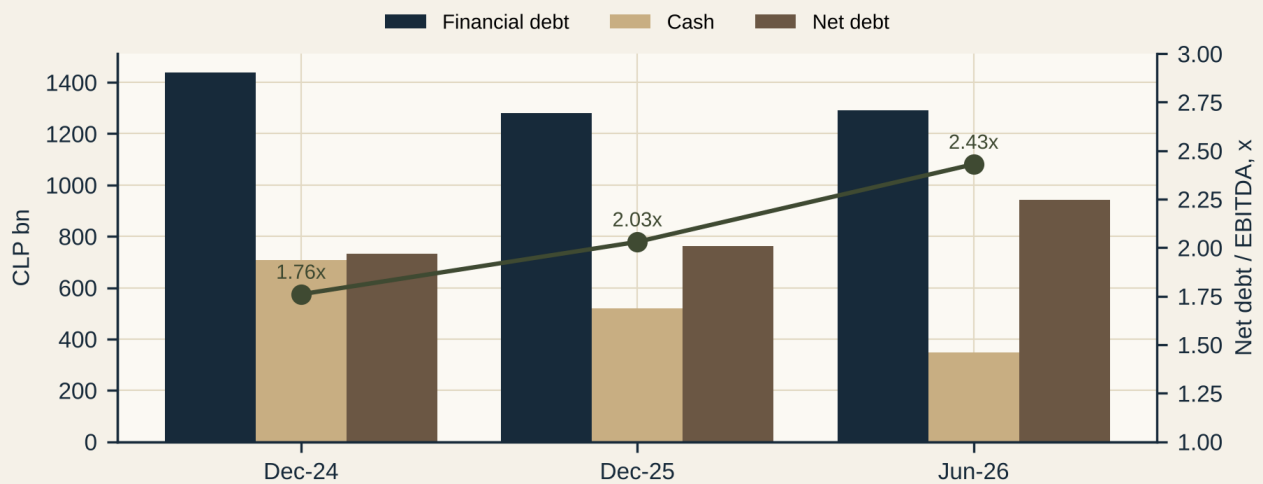
C2. Balance Sheet

CONDENSED BALANCE SHEET

CLP bn	Dec-24	Dec-25	Jun-26
Cash and equivalents	707.1	520.7	347.0
Trade receivables	542.7	499.9	286.9
Inventory	477.3	449.0	442.6
Property, plant and equipment	1,567.7	1,508.0	Not Retrieved
Goodwill	161.6	149.0	151.6
Other intangibles	244.6	237.5	257.2
Total assets	3,989.7	3,761.9	3,464.3
Trade payables	423.6	378.7	325.2
Financial debt (company definition)	1,439.7	1,281.5	1,290.2
Net financial debt (company definition)	732.5	762.4	943.2
Total liabilities	2,317.2	2,140.9	1,912.6
Total equity	1,525.2	1,476.1	1,426.1
Current ratio	2.06x	1.90x	1.84x
Quick ratio (excl. inventory)	1.51x	1.34x	1.17x
Equity ratio	38.2%	39.2%	41.2%

Sources: Alpha Vantage normalised statements (Derived) for balance sheet lines; debt and net debt from CCU reports (Sourced). Current ratio and quick ratio Calculated from current assets, inventory and current liabilities (Jun-26 current assets 1,209.2bn, current liabilities 656.0bn). Alpha Vantage debt of CLP 1,327.6bn at December 2025 includes leases; the company figure of CLP 1,281.5bn is preferred.

Debt, cash and leverage

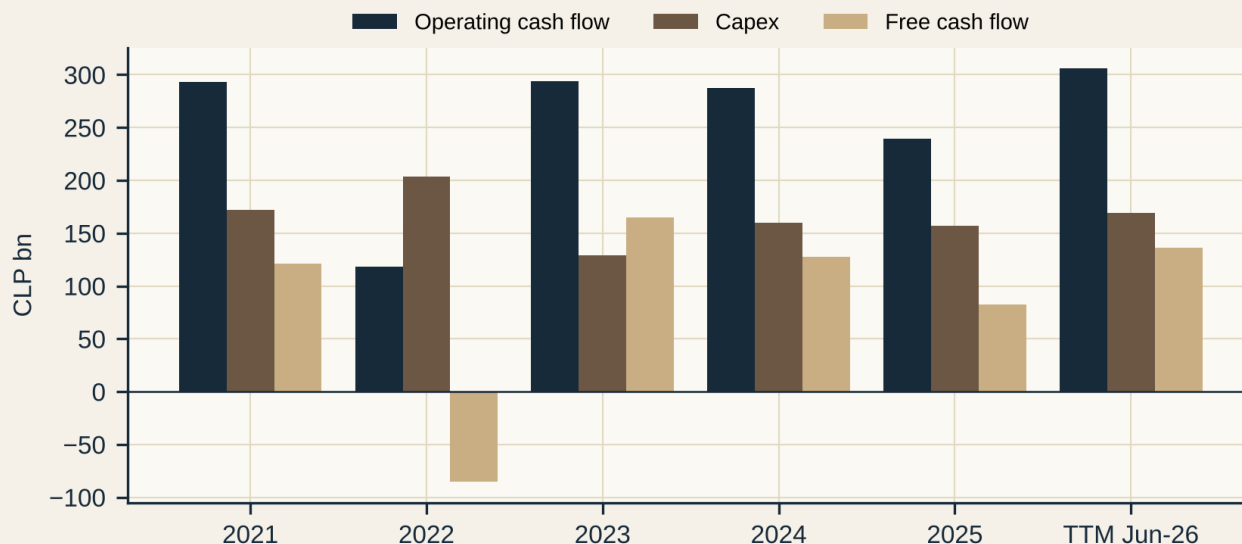


CLP bn and multiple of trailing EBITDA. Source: CCU reports. Sourced.

Assessment (Reasoned). Balance-sheet strength is Moderate. Leverage rose by 0.40x in six months because of the CLP 164.6bn Nestlé purchase, seasonally lower cash and weaker trailing EBITDA. Goodwill (CLP 149.0bn) is only 4.0% of assets, so impairment risk is limited; the Bolivian write-down of CLP 6.1bn shows the real exposure is local assets. Red flags are: net debt near the top of the target range, a cash fall from CLP 707.1bn to CLP 347.0bn in 18 months, and UF (inflation-indexed) bond exposure. Positives: receivables fell from CLP 542.7bn to CLP 499.9bn in 2025, inventory fell, and the 2025 debt reduction of CLP 158bn (Sourced). Refinancing schedules and hedging detail were Not Retrieved from the filings available.

C3. Cash Flow Statement

Operating cash flow, capex and free cash flow



CLP bn. Sources: Alpha Vantage 2021 to 2023 (Derived); CCU reports 2024, 2025 and trailing (Sourced). FCF = operating cash flow less capital expenditure.

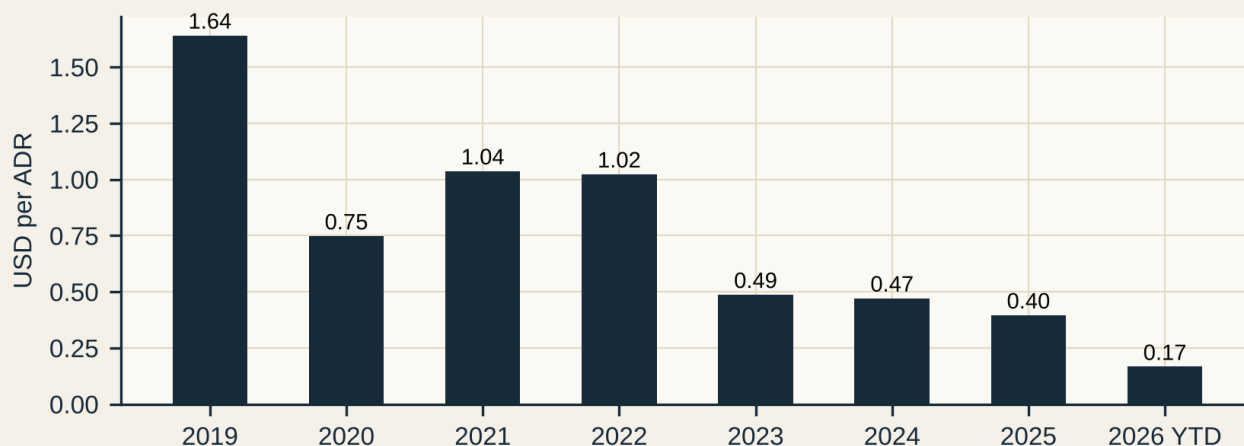
CASH FLOW SUMMARY

CLP bn	2021	2022	2023	2024	2025	TTM Jun-26
Operating cash flow	293.4	118.2	294.1	287.5	239.1	305.9
Capital expenditure	(171.9)	(203.6)	(129.4)	(160.1)	(156.9)	(169.5)
Free cash flow	121.5	(85.4)	164.7	127.4	82.2	136.4
FCF margin	4.9%	-3.1%	6.4%	4.4%	2.8%	4.6%
Dividends paid	274.1	158.3	65.6	81.8	74.5	Not Retrieved
Net income (owners)	199.2	118.2	105.7	160.9	117.2	103.7
OCF / net income	1.5x	1.0x	2.8x	1.8x	2.0x	2.9x

2022 operating cash flow of CLP 118.2bn was weak and financing brought in CLP 537.1bn (Derived), indicating debt or equity was raised that year; the cause was not retrieved. Dividends paid for 2025 are provider-derived (Derived).

Analysis (Reasoned). Free cash flow averaged 3.1% of net sales over 2021 to 2025; so accounting earnings are broadly supported by cash: free cash flow equalled 156%, 79% and 70% of net income in 2023, 2024 and 2025, a declining trend, with capex (CLP 156.9bn in 2025) roughly equal to depreciation (CLP 155.4bn, Derived). Net income does not equal cash generation in 2022, when working capital absorbed cash. In 2025 free cash flow of CLP 82.2bn covered dividends of CLP 74.5bn only 1.1 times, which explains the lower payout and rising debt. Trailing FCF recovered to CLP 136.4bn because 1H26 operating cash flow was CLP 165.0bn (versus CLP 98.2bn), partly timing of working capital.

Dividends per ADR



USD per ADR. Source: digrin.com dividend history (market data); 2026 includes only the April ex-dividend date. Sourced.

C4. Forecasting and Projections

Reasoned. The base case projects net sales growth of 3.0% in FY2026E (1H26 grew 2.1% with price at +6.4% in 2Q and volume at -1.5%) then 4.5%, 4.5%, 4.0% and 4.0%, below the 2021 to 2025 CAGR of 4.0% only in the near term. EBITDA margin recovers from the 12.9% of FY2025 to 14.8% by FY2030E as Chile cost relief, Argentina restructuring (CLP 1.4bn charge in 2Q26) and Wine restructuring (CLP 1.6bn) take hold; this remains below the 18.3% margin of 2021. Capex is held at 5.3% of net sales, equal to depreciation, and working capital absorbs 10% of incremental sales. The bear case holds growth near 2.0% to 2.5% and margins at 12.2% to 12.5%; the bull case has volume recovery and the margin reaching 16.1%.

SCENARIO PROJECTIONS, CLP BN (REASONED ESTIMATES)

Scenario	Sales FY27E	EBITDA margin FY27E	Sales FY31E	EBITDA margin FY31E	FCFF FY27E	FCFF FY31E
Bear	3,027	12.2%	3,341	12.3%	147	163
Base	3,132	13.8%	3,664	14.8%	181	242
Bull	3,192	14.5%	3,917	16.1%	196	292

Estimates are analyst assumptions, not company guidance or consensus. FCFF = EBIT after 27% tax plus depreciation less capex and working capital. Market expectations (consensus) were Not Retrieved beyond the provider forward P/E of 14.4x.

C5. Discounted Cash Flow (DCF)

DCF ASSUMPTIONS AND OUTPUTS (REASONED)

Assumption	Bear	Base	Bull
Revenue growth FY26E-FY31E	2.0% to 2.5%	3.0% to 4.5%	3.5% to 6.0%
EBITDA margin at FY31E	12.3%	14.8%	16.1%
Tax rate	27%	27%	27%
Capex and depreciation, % of sales	5.3%	5.3%	5.3%
Working capital, % of incremental sales	10%	10%	10%
WACC	10.5%	9.5%	9.0%
Terminal growth	2.5%	3.0%	3.0%
Net debt (30 Jun 2026), CLP bn	943.2	943.2	943.2
Shares outstanding	369.50m (184.75m ADR)		369.50m
Enterprise value, CLP bn	1,795	3,176	4,126
Equity value, CLP bn	852	2,233	3,183
Terminal value share of EV	69%	75%	77%
Value per ADR (USD)	4.7	12.2	17.4

Cash flows FY2027E to FY2031E discounted from 5 October 2026 using period-end timing; the remaining FY2026E cash flow is omitted (conservative). WACC reflects an assumed Chilean peso risk-free rate near 5.5%, equity risk premium near 5.5%, levered beta near 0.8 and after-tax debt cost near 4.0%; these inputs are Reasoned assumptions and were not retrieved from a source. Values per ADR convert at USD/CLP 989.64.

BASE-CASE VALUE PER ADR, USD: WACC AND TERMINAL GROWTH SENSITIVITY

WACC / terminal growth	2.0%	2.5%	3.0%	3.5%	4.0%
8.5%	12.9	14.1	15.5	17.2	19.2
9.0%	11.5	12.5	13.7	15.1	16.8
9.5%	10.4	11.2	12.2	13.4	14.7
10.0%	9.4	10.1	10.9	11.9	13.0
10.5%	8.5	9.1	9.8	10.7	11.6

BASE-CASE VALUE PER ADR, USD: REVENUE GROWTH AND EBITDA MARGIN SENSITIVITY

Margin shift (all years)	Growth -1 pt	Base growth	Growth +1 pt
-2 pts margin	7.9	8.3	8.8
-1 pts margin	9.7	10.3	10.8
+0 pts margin	11.6	12.2	12.9
+1 pts margin	13.4	14.2	14.9
+2 pts margin	15.2	16.1	17.0

WHAT THE DCF SAYS

Reasoned. The scenarios span USD 5 to USD 17 per ADR, with a base case near USD 12 and a sensitivity band of roughly USD 8 to USD 16 around it. Each 1 point of EBITDA margin moves the base value by about USD 2 per ADR, so margin is a larger driver than growth. At the market price of USD 10.59 the market is pricing an EBITDA margin about 0.8 points below the base path, near 13.0% in FY2027E and 14.0% by FY2030E, so the price embeds only a partial margin recovery. Terminal value is about three quarters of enterprise value, so the output is sensitive to WACC and the long-run margin and should be read as a range, not a point estimate.

C6. Leveraged Buyout (LBO) Model

Not applicable. CCU is controlled by IRSA with 65.87% ownership and the controlling holders (Quinenco and Heineken) are strategic owners, so a financial-sponsor buyout is not a realistic scenario. In addition, existing net leverage of 2.43x trailing EBITDA leaves little capacity for additional acquisition debt without breaching the company 1.5x to 2.5x target range. No LBO returns are presented (Reasoned).

Expectations Embedded in the Price

Reasoned. At USD 10.59 the stock trades at 7.4x trailing EV/EBITDA and a 7.0% FCF yield. Reverse-engineering the base DCF, the price requires an EBITDA margin near 13.0% in FY2027E rising to about 14.0% by FY2030E (FY2025: 12.9%; 2021: 18.3%), revenue growth of 3.0% to 4.5%, and a terminal growth rate of 3% (inflation). Capital efficiency at the FY2025 ROIC of about 7% is assumed to persist. These expectations appear Reasonable: they assume a partial margin recovery and that Argentina and wine stop deteriorating.

D. Investment Thesis

Bull Case

Reasoned. Revenue grows 5% to 6% annually in 2027E to 2029E on price, mix and the water franchise now fully owned; Chile EBITDA margin rises above 17% (it was 16.3% in FY2025); Argentina and Bolivia stabilise at breakeven; wine exports recover; leverage falls below 2.0x and dividends rise. Under these conditions the DCF gives about USD 17 per ADR and the multiple re-rates toward the 8.5x to 10.9x peer range.

Bear Case

Reasoned. A weaker peso lifts dollar-linked costs; growth slows to 2.0%; EBITDA margin falls toward 12%; Argentina requires further restructuring; leverage exceeds 2.5x, dividends are cut; and AB InBev defends share with price. In this case the DCF gives under USD 5 per ADR, an implied EV/EBITDA of 4.6x on trailing EBITDA.

Base Case

Reasoned. Net sales grow 3.0% to 4.5%, EBITDA margin rebuilds gradually to about 14.8% by FY2030E, capex stays near 5.3% of sales, leverage stabilises around 2.0x to 2.3x, and the dividend is stable. The DCF base value is about USD 12 per ADR, within a USD 5 to 17 scenario range, against a current price of USD 10.59.

Catalysts

Reasoned. Third-quarter 2026 results (date Not Retrieved); evidence that the Vamos por Más synergies cut MSD&A; Nestlé water integration; Argentine macro stabilisation; the peso exchange rate; the dividend announcement; Bolivian operations restart; and regulatory decisions on the antitrust claim.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Chile EBITDA margin (13.5% in 2Q26)	83% of group EBITDA	Above 16% through the year	Below 15% for two consecutive quarters
Net debt / EBITDA (2.43x)	Dividend and refinancing capacity	Below 2.0x by year-end	Above 2.5x
USD/CLP	Dollar-linked inputs	Peso stable or stronger	Peso weakens beyond 1,050
International EBITDA	Loss-making in 2Q26	Breakeven or better	Further impairments
Wine sales and EBITDA	Export demand	Sales decline narrows to single digit	Decline stays above 10%
Free cash flow	Dividend cover	TTM above CLP 140bn	TTM below CLP 80bn

E. Final Investment Framework

FINAL FRAMEWORK

Factor	Assessment and explanation (Reasoned)
Business Quality	Good: defensive categories, entrenched brands, but earnings diluted by Argentina and wine.
Financial Quality	Moderate: ROIC about 7%, FCF margin 2.8% to 4.6%, leverage rising.
Competitive Position	Strong in Chile; weak internationally. Moat rated Moderate.
Management	Untested: new CEO since 1 July 2026 with 20 years at CCU; long-serving predecessor now on the board.
Industry	Mature, cyclical, concentrated, with growth in water and low-alcohol.
Valuation	Reasonable: 7.4x EV/EBITDA and a 7.0% FCF yield price in only a partial margin recovery.
Technical and Market Structure	Weak: downtrend, oversold RSI 25, at 52-week low.
Principal Risk	Argentina and Bolivia earnings loss combined with leverage near 2.5x.
Principal Catalyst	Evidence that Chile margins hold at 15% or higher as the new management structure takes effect.
Key Variable	Chile segment EBITDA margin, because 83% of EBITDA depends on it.
Thesis Invalidation	The investment thesis would become materially weaker if net debt to EBITDA exceeds 2.5x for two consecutive quarters, if Chile EBITDA margin falls below 14% on a trailing twelve-month basis, or if the International segment records a trailing twelve-month EBITDA loss.

F. Data Table

COMPANY SNAPSHOT

Category	Metric	Current	Prior Year	3Y / 5Y Trend
Market	Market cap (USD bn)	1.96	2.15	Price -16.0% / -37.7%
Market	Enterprise value (CLP bn)	2,879	Not Retrieved	Not Retrieved
Market	Share price (USD per ADR)	10.59	11.63	3Y -16.0%; 5Y -37.7% (price only)
Growth	Revenue growth	0.2% (FY2025)	13.2% (FY2024)	CAGR 2021-25: 4.0%
Profitability	Gross margin	44.4%	45.2%	2021: 48.0%
Profitability	Operating (EBIT) margin	7.6%	9.0%	2021: 13.3%
Profitability	Net margin	4.0%	5.5%	2021: 8.0%
Profitability	ROE	7.8%	Not Retrieved	Not Retrieved
Profitability	ROIC	7.2%	8.5%	Declining
Cash Flow	Operating cash flow (CLP bn)	239.1	287.5	2021: 293.4
Cash Flow	Free cash flow (CLP bn)	82.2	127.4	2021: 121.5
Leverage	Net debt / EBITDA	2.03x (Dec-25); 2.43x (Jun-26)	1.76x	Rising
Valuation	P/E (trailing)	18.7x	Not Retrieved	Not Retrieved
Valuation	EV/EBITDA	7.4x	Not Retrieved	Not Retrieved
Valuation	P/FCF	14.2x	Not Retrieved	Not Retrieved
Market	Beta (3Y weekly vs S&P 500)	0.58	Not Retrieved	5Y: 0.50
Market	Volatility (annualised, 3Y)	28.0%	Not Retrieved	5Y: 29.6%
Market	Maximum drawdown	-29.4% (3Y)	Not Retrieved	-44.5% (5Y)

Prior-year market values use the 3 October 2025 weekly close. Margins and growth are on company-reported FY2024 and FY2025 figures; 2021 values are Derived from Alpha Vantage. Reported in CLP unless stated.

G. Sources and Methodology

Primary Sources

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CCU S.A. (SEC Form 6-K). Fourth quarter and full year 2025 results. 24 February 2026. https://www.sec.gov/Archives/edgar/data/888746/000129281426000493/ccupr4q25_6k.htm

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Information obtained: executive restructuring

La Tercera. CCU amplió sus pérdidas en medio de una alta inflación. August 2026. <https://www.latercera.com/pulso/noticia/ccu-amplio-sus-perdidas-en-medio-de-una-alta-inflacion-menor-desempeno-en-bolivia-y-caida-en-las-ventas-de-vino/>

Information obtained: 2Q26 context for Bolivia and wine

USDA Foreign Agricultural Service. Beer and Ingredients Opportunities in Chile (GAIN report CI2024-0024). 2024. https://apps.fas.usda.gov/newgainapi/api/Report/DownloadReportByFileName?fileName=Beer+and+Ingredients+Opportunities+in+Chile_Santiago_Chile_CI2024-0024.pdf

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Market Data

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Information obtained: valuation multiples, officers, employees, float

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Information obtained: peer multiples and returns (equivalent pages for ako.b, kof and bud)

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Information obtained: dividend history per ADR

Calculations and Cross-checks

Calculated by the analyst: trailing twelve-month figures (FY2025 plus 1H26 less 1H25), market capitalisation (USD price x 184.75m ADRs x USD/CLP), enterprise value, valuation ratios, ROIC, working-capital days, returns, volatility, beta, drawdown, RSI, MACD, moving averages, DCF and scenarios. Data cross-check: Alpha Vantage reports FY2025 net sales of CLP 2,766.7bn and net income CLP 111.4bn against company-reported CLP 2,909.6bn and CLP 117.2bn; the company filing is preferred for 2024 onward. Provider EV/EBITDA (8.0x) and Alpha Vantage (14.0x on a different EBITDA) differ from the calculated 7.4x; company-reported EBITDA is used. Provider beta 0.27 differs from the 0.58 calculated on weekly returns; both are shown. Forward estimates are the analyst's own.

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